

AMERICAN FORK CITY COUNCIL
FEBRUARY 8 & 9, 2017
BUDGET WORKSHOP MINUTES

Members Present:

Bradley J. Frost	Mayor
Kevin Barnes	Council Member
Staci Carroll	Council Member
Barbara Christiansen	Council Member
Rob Shelton	Council Member
Clark Taylor	Council Member

Staff Present:

David Bunker	City Administrator
Camden Bird	Assistant to the City Administrator
Adam Olsen	City Planner
Terilyn Lurker	City Recorder
Laurel Allman	City Treasurer
Kyle Maurer	Finance Director
Aaron Brems	Fire Chief
Kasey Wright	Legal Counsel
Colleen Eggett	Library Director
Derric Rykert	Parks and Recreation Director
Darren Falslev	Police Chief
Scott Sensanbaugher	Public Works Director
George Schade	Technology Director

BUDGET WORKSHOP

The American Fork City Council and Key Staff met in a Budget Workshop meeting on Thursday February, 8, 2018, at the Fox Hollow Golf Course, 200 East 1400 North, and on Friday, February 9, 2018, at the American Fork Library, 64 South 100 East.

Thursday, February 8, 2018, at Fox Hollow Golf Course at 4:00 p.m.

Mayor Frost welcomed everyone to the workshop. He noted this was an important workshop and that they would be discussing issues that the city has not faced in the past seven years. The city was growing and wonderful things were happening.

Council Member Taylor offered a prayer.

David Bunker explained they would start with talking about the workshop objectives followed by a review of the city community survey. They would then go over the current status of the Capital Improvement Plan (CIP) and future capital projects.

Workshop Objective

Mr. Bunker commented that the most important thing they will do is to come together to build a consensus to pass a budget that reflects what the citizens of the community want. It was a pledge to the citizens that they would be careful with the tax dollars. He encouraged participation and hoped everyone would be engaged in the discussion. Mr. Bunker commented that they needed to celebrate the successes of the year as there has been a lot of work done, not just in the past year but before that as well. They would also like to know what things they can improve upon next year.

Mr. Bunker continued that they will all commit to follow the budget, so now was the time to make sure the ideas get put into place. The plan was to break down the budget fund by fund and present that to the city council over the next several work sessions.

Community Survey

Camden Bird highlighted several areas of the community survey. There were 1,353 surveys turned in, either online or on paper. The majority of online responders were ages 35-44 with the majority of paper responders being ages 65 and older. For the most part, residents thought the quality of life in American Fork was “Good” or “Excellent.” A majority of responders have lived in American Fork for 11 years or more, with most wanting to stay. Last year, the survey responses included a lot of new residents as well as long-time residents; this year the responses were spread out a bit more for the length of time they have resided in the city.

With customer service in the various departments, the responses were comparable to last year’s responses. The quality of services were slightly down. The main reason people live in American Fork was the location. The main issue the residents wanted the city to focus on was roads. There were other options to choose from but those were the main issues.

Mr. Bunker stated that there were a lot of positive comments included in the surveys, as well as some that could point to areas they could improve.

Current Capital Improvements Projects Update

Mr. Bunker had each department give a quick update on their current CIPs.

Fire Department

Fire Chief Aaron Brems reported that the new fire station, which would house both fire and police, has been put on hold until a site location could be determined. There were two locations they were looking into (1100 North and North County Boulevard or near

Harvey Boulevard and North County Boulevard) and either of those locations would be ideal, but if those do not work they would make another proposal. The cascade air system upgrade has been completed; they can fill more air bottles at a faster time. The Fire Burn Prop was 90% done and they were now holding trainings with surrounding communities; there some upgrades they wanted to make to protect the investment. The Tech Rescue Equipment was completed. The Type 1 Structure Fire Engine was under construction and expected to be delivered in August of this year.

Councilmember Shelton brought up the property for the fire station and wanted to make sure they had the appropriate agency give authorization for the fire station on their land.

Police

Chief Falslev reported that their vehicle equipment was pending. The police fleet vehicles were over the budgeted amount but that included the new School Resource Officer's vehicle that had not been anticipated.

Library

Colleen Eggett reported their 2nd floor furniture was budgeted at \$10,000 and they anticipated the furniture being delivered this summer.

Parks and Recreation

Derric Rykert stated there was a lot of work to do this spring and summer. At the Fitness Center they would be installing a new HVAC unit and Deck Drain. The lighting upgrade at the fitness center has been completed, using a Rocky Mountain Power grant. They would be working on a Fitness Center feasibility study this year, but would gather data before they start; this would study the efficiency of the facility and the capacity. The Miller Park and Evergreen Park projects would be completed this spring. The PARC projects were in various stages of completion; that report had been given previously.

Public Works

Scott Sensanbaugher went over the projects that were completed: 860 East Detention Pond, Upper filter station, Upper East Reservoir lid, Utah Valley Drive utilities, CDBG #5 water line replacement, 36" water line across State Street done in conjunction with the UDOT project, the annual sewer Slip-lining project to keep water infiltration out, 900 West 1120 North signal, Motor sweeper purchase, Spring Line replacement environmental assessment, and the library chiller.

Mr. Sensanbaugher reported there were several projects in process. The CDBG #6 water line replacement project contract would be going before the council shortly. The design of the chlorinator replacement was now over 60% complete; this did involve the relocation of the chlorinator. The studies were now done and coordination was taking

place on the fiber option lines for the Spring Line; the full design will begin soon. The Road Plan Year 1 in-house work was in process and on schedule; the Road Plan Year 2 solicitation of design services was underway for the contract work. The CDBG #7 water line replacement project grant has been submitted to Mountainland Association of Governments. The 700 North Connection project property acquisition work would begin soon; this would connect 100 East to 200 East at approximately 700 North.

Future Capital Needs

Kyle Maurer stated that the capital requests for next year totaled \$25 million in requests which included 19 projects (not including fleet needs). Over 6 years, there are 23 projects totaling \$105 million. There were a number of significant projects that needed to start next year, which explained the difference in number of projects.

Council Member Shelton stated they have talked about fleet management plan in the past but now there was no plan. He wanted to know where they were with regards to that. Mr. Bunker was not aware of a fleet management schedule, only a vehicle purchase schedule; however, they were working on putting that management plan together. A fleet management plan would look over all the vehicles and the best option for the vehicles in terms of retention and maintenance. Mr. Maurer noted the departments have their own schedule, but it was not collective; they wanted to make sure all departments were treated fairly.

Mr. Maurer went over the requests for capital equipment, noting the departments identified their priority needs.

- Cemetery had a few equipment lease payments.
- Fire Department communications system was becoming obsolete and no longer available for use next year; they would purchase new radios and then start replacing them annually. The Fire Department was also requesting Tech Rescue gear.
- Fitness Center was requesting cardio and weight equipment.
- Parks Department was requesting a UTV, had some mowers under contract, and the purchase of a stump grinder and a broadleaf sprayer.
- The Police Department was requesting radios and Tasers, which would be requested yearly.
- Street Department was requesting looking to replace their roller.
- Broadband was requesting a fusion splicer and testing equipment.
- Water was requesting a generator.

When asked if the Parks Department could rent a stump grinder, Mr. Rykert answered that they have done that in the past but owning our own grinder would allow the department to use the grinder as needed rather than waiting until they rent one.

Council Member Shelton noted the Police Department was also requesting a storage shed and asked if this would be in addition to what they have. Police Chief Falslev answered the current shed was already full. Chief Falslev explained that the current shed was housing a truck that had to be kept for an unknown amount of time as it was part of a murder case.

Council Member Shelton commented that the request for a generator was brought up before. Mr. Sensanbaugher was aware that it had been brought up before but felt it did warrant another discussion; this would be used for wells to keep power for water in an emergency.

Mr. Maurer then went over the Capital Project requests for FY2019, noting that these lists have not been addressed or discussed with the departments. These projects were also prioritized by the departments.

- Cemetery would like to finish asphaltting the parking lot, a veterans' monument in the Hillside section, a fence on south section of cemetery. It was questioned if they could use PARC tax funds for a Veterans moment, but there was a concern that the PARC Tax Advisory Board did not want to supplement the budget but to enhance the community. It was noted that there was a need for additional Veterans' burial spaces.
- Fire Department had included Station 52 and \$20,000 for the burn prop.
- Fitness Center requested funds for several projects to upgrade the Fitness Center and pool.
- Parks requested funding to match PARC Tax funds received. This also included a subsidy for Fox Hollow and for playground replacement
- Streets included funding for the annual road plan, 700 North Connection, 200 South Bike/Pedestrian Plan, and sidewalk improvements. It was noted the 700 North Connection and 200 South Plan would receive grant money.
- Culinary Water needs were the chlorinator replacement, Spring Line Replacement, 36" Water Line Phases I to III, the annual CDBG water line replacement project, SCADA improvements, Utility Betterments for State Street and Main Street, crack seal on the upper tanks, and other water line replacement projects as well as the TOD area well design work
- Pressurized Irrigation asked for funds for improvements to the lower filter station.
- The Sewer Department was asking for funds for the annual slip lining and pipe bursting projects.

Mr. Maurer explained the price tag for all the projects requested was just over \$25 million. Mr. Bunker stated they wanted to go over these requests briefly tonight so they could think about it and then come back tomorrow to discuss this further. Mayor Frost stated he wanted to gage their

initial thoughts; they did need to build a fund balance but they did have projects that needed to be completed.

Council Member Carroll asked for an explanation on which funds would be paying for the various projects. Mr. Maurer indicated he would go over the fund balances and what was available right now, which was funds that were not currently allocated. State Law requires they have a minimum of 5% (\$1.18 million) and a maximum of 25% (\$5.9 million) in the fund balance. Mr. Maurer noted they were at about 8% right now. Recently, they had been allocating part of the fund balance to help with the annual budget.

The fund balances as of June 30, 2018, were as follows:

Governmental Funds - Unrestricted	
General Fund	\$ 1,888,247
MBA	\$ 814
Fitness Center	\$ 0
Downtown Redevelopment	\$ 128,954
Celebration	\$ 30,805
Debt Service	\$ 943,430
Meadows	\$ 128,565
General CIP (funds capital projects)	\$ 1,346,281
<u>Capital Equipment</u>	<u>\$ 0</u>
Total Unrestricted Fund Available for Appropriations:	\$4,467,096

Governmental Funds – Restricted (can only be used for specific items)	
PARC Tax (does not include the \$992K paid in June)	\$ 1,060,172
Park Impact	\$ 2,353,728
Road Impact	\$ 2,769,544
Fire Impact	\$ 567,378
Police Impact	\$ 1,007,700
RDA – West Side	\$ 17,995
RDA – East Side	\$ (226)
RDA – Business Park	\$ 1,117,775
RDA – Egg Farm	\$ 567,378
CRA – TOD	\$ (245,754)
CRA – Main Street	\$ (13,007)

Mr. Maurer explained that the Impact Fee Facilities Plan dictated what they could use the impact fees funds on. The Fire Equipment under \$500K could not use impact fees. He also explained that there were a couple of negative amounts for the CRAs as those two areas were not

implemented yet but they were working on; they were allowed to go into a deficit to set those areas up.

Mr. Maurer explained that with the Culinary Water and Secondary Water enterprise funds were combined together. They did have a deficit in secondary water but the culinary water covered that amount. The Enterprise balances were as follows:

Enterprise Funds – Cash Balances	
Culinary Water	\$ 11,248,436
Culinary Water Impact	\$ (437,937)
Secondary Water	\$ 11,775,857
Secondary Water Impact	\$(16,471,839)
(Total water funds available: \$6,114,517)	
Pressurized Irrigation	\$ (4,695,982)
Sewer	\$ 3,142,956
Sewer Impact	\$ 804,234
Storm Drain	\$ 1,082,510
Storm Drain Impact	\$ 1,139,900
Sanitation/Recycling	\$ 115,259
Broadband	\$(3,180,432)

It was noted that some of the projects previously listed would have funding available for the projects from their enterprise fund.

Council Member Shelton commented the city's revenue was sales tax heavy. He understood there were some GO bonds that came due and he did not know if they could convert those payments from the property tax increase to pay for other items. For example, when the bond is paid off the property taxes would not go down but would then go toward maintaining or helping maintain the assets going forward. Mr. Maurer explained that with GO bonds portion of the taxes, they could request up to the amount of the GO payment, however, the city has only been requesting \$245,000. Other revenue has been assisting with those bond payments. Council Member Shelton stated they needed to secure the \$245,000 now. Mr. Maurer understood that Council Member Shelton was wanting that \$245,000 to be built into the property taxes. They would not have to have truth in taxation if they did not stop requesting \$245,000. The other option was to build that \$245,000 into the normal tax rate, which would increase the tax rate and require a hearing. Basically, the money coming out of the resident's wallets would be the same.

Mr. Bunker explained they would resume the in the morning at 8:30 a.m.

Friday, February 9, 2018, at the American Fork Library (64 S. 100 E.) at 8:30 a.m.

Mr. Bunker welcomed everyone and explained they would start by reviewing the capital projects and answer any questions they may have.

Capital Projects Review/Questions

Council Member Shelton commented that a lot of money over the next few years was for water line projects, mainly the 36" water line. He noticed the 36" water line which was a priority 1 while the southside well was a priority 2 but there was a large difference in cost. He thought the goal was to provide water to the TOD area and then to provide redundancy and he questioned how they accomplish that with the budgetary constraints. Mr. Bunker explained the well was one part of the redundancy. Horrocks Engineers had suggested some options such as a tank with boosters, a 36" line coming from the lower tank, and a tank at Hunter Park. Mr. Bunker stated the cheapest option was the 36" line, as it also accomplishes replacing old lines that needed to be replaced. Council Member Shelton felt it was better to construct the well now and then add the water lines later. Mr. Sensanbaugher stated there was not currently a supply deficiency and while a well needed to be on the radar, it was not urgent. The water line and asphalt on 600 East desperately needed to be repaired, and this project would fix the water lines, the drainage, and the road. The 600 East project estimate also included the complete repaving of the road. There were concerns on how this project would be funded without the aid of a bond. There were also concerns with water pressure where there were different water line sizes, and Mr. Sensanbaugher assured the council there would not be a water pressure issue. When asked if the southside well would buy them another five years to construct the 36" water line, Mr. Sensanbaugher answered that it would do nothing for 600 East which was what they felt was needed more at this time.

The city was blessed with a great water system and supply. While these projects were big and scary, the problem was that there were old pipes that were starting to break and cause extensive damage. There were many different issues that seemed to be coming at them at once, so funding solutions needed to be discussed and decided upon.

Big Ideas

Library

- Bryan McKay Eddington Learning Center space –Initially, it was believed there was a ten-year commitment to allowing the Learning Center to use the basement, with their time being up ten years ago. Mayor James Hadfield had talked to Greenwood Elementary and arranged to use three of their classrooms, but the Library preferred another option. They need to determine the best location for the learning center by recommitting to the basement, build onto the library or secure another location.
- Two new part time staff for children's services and programing, as well as \$1,000 in programming expenses.
- Clean out the basement storage area for other uses, such as clubs and STEAM activities.

Parks and Recreation

- Fitness Center Strategic Plan – what was the future of the Fitness Center, what changes needed to take place, and to hire a consultant to evaluate and make recommendations
- Cemetery Growth Plan – it was not a grave situation yet, but they do need to keep additional cemetery land on their radar. They have about 15 years of lot sales remaining and over 35 years of burials available.
- Parks Growth Plan – there were several ideas of what they would like to do with some of the parks, from the Art Dye master plan to park repairs, maintenance and improvements to additional land on the south side of the freeway. There was a short discussion on how to fund the projects, whether it be by bonding or using PARC funds.

Fire Department

- Fire Station 52 in north east area (by Developmental Center) – they were in desperate need of more fire stations and this would help with response time covering target hazards such as the hospital and with maintaining the ISO 2 rating. This building would also house the Police Department. The State Board asked them to do some light and sound testing on the location of the fire station in conjunction with the autistic patients near the proposed fire station. They did that and the residents did acknowledge the noise and lights but did not freak out.
- Cardiac Heart Monitors – they would like to upgrade the monitors which would allow the paramedics to monitor the heart 12 different ways and allow them to transmit the live feed to the hospital.
- Mobile/Portable Radios – this was mandated by the state. They need to replace 26 radios by 2019. The cost is \$94,471. They have a plan to regularly replace radios going forward. This was affecting every city in the state, including police departments.

Council Member Shelton had a fourth big idea to add, which was the tower capacity with Dispatch. They needed to keep pressure on Dispatch to correct the problem of dispatching out emergency personnel and the communication not getting to the personnel.

Police

- Additional Personnel – there was a lot of growth that would be coming, but they do not have the personnel to handle the additional load. They need one additional records information specialist, a code enforcement officer, and traffic enforcement officer. They needed to dig out of the hole they have been in for years.
- Radio Switchover – they were able to upgrade radios to the first standard, so they were compliant for ten years to give them time to switch over to the second standard. They need to transition radios for a cost of \$212,810 over five years.
- Vehicle Rotation Plan – they started a five-year rotation plan to replace vehicles; they need to capitalize on the investments to reduce repair and replacement costs. They would replace the radio when they replace the car.

Public Works

- Citizen Response System integrated with PW functions – tracking requests for services, tracking accountability, communicating with residents and improve records management. A good tracking system would help them analyze the different problems they were seeing. A lot of this big idea could be used with the current software program they were already using. It was best to use a program that included all of this, as it would cut down on the expense of having different programs. This would increase efficiency and reduce labor costs. One idea was to create an app that would allow citizens to report problems easier and would allow citizens to see if a problem has already been reported and/or when the repair was expected to be made. This could work with all departments throughout the city.
- Improve Records Management – this is integrated with the Citizen Response System and would be GIS-centric. The goal was to be as paperless as much as possible. They already have some of these resources available, it would just require training on using that program.
- Improve water SCADA system – Supervisory Control and Data Acquisition for water system. This would reduce overtime and improve efficiencies by increasing automation and control of the water system. He would like to hire a consultant to see what it would take to get to that point.

Planning

- RDAs for Downtown and Front-Runner Station Area (CRAs) – Funding was needed to assist with betterments along downtown and for inadequate infrastructure in the TOD area. The Front-runner Station area needed a few parcels annexed into the city before this CRA could be created.
- Bicycle and Pedestrian Plan – there have been some projects that have move forward, but they would like implement a plan where bicycle and pedestrian improvements take place along with street improvements.
- Planning Department Process Improvement – they would like to implement Bluebeam Revu software which would help solidify internal review process

Administration

- Citizen Response System – this needed to be for all departments city-wide and was needed to establish internal policies and procedures on customer service expectations and response times. Accountability was a big part of it.

- Facility Security – citywide facility card access, cameras, panic buttons, fencing at the Police/Courts building, floorplan redesigns, move out courts and move NOC. Security should be the same for all buildings.
- Broadband and Fiber Feasibility Study – look at longer term outlook of the fiber system and leasing dark fiber, as well as other options to get to a positive note. The city could not retail, but could go to a public provider who provides to the citizens. There were restrictions in place they need to keep in mind when they look at what can be done. There were some options that needed to be explored.

Council Member Shelton asked for an update on the promissory note with American Fiber, Inc. Mr. Schade stated American Fiber, Inc. was out of compliance; they were paying 12% interest and no principal. If they do not pay, the city would get the asset back, however the asset was out of date with no upgrades. The city needed to look at what could be done.

FY2018 Budget

Mr. Maurer explained that overall, the General Fund revenues were lethargic; he thought they would meet the budgeted revenue projections but did not think there would be the surpluses they have seen in the past. Sales tax was about 5% higher than last year and property tax was 2.3% higher; those were lower than anticipated but he thought that would be made up toward the end of the fiscal year. The overall taxes were 5% higher, permits were 56% higher than last year, and the Class B&C funds were 14% lower where he had budgeted a 17.5% increase. It was difficult to estimate the B & C road funds because it relied on how much people drive and the lane miles in each city. Overall, they were at 51% of budget and last year the city was at 54%; last year there was a lot of growth in different areas.

With expenditures, 58.3% of the fiscal year has passed. Personnel was at 46.8% of the budget which was 4.9% higher than last year. The operating expenditures were at 43.5% of budget, which was 33% less than last year. Mr. Maurer stated they have been looking at ways to cut expenditures and analyzing what was actually needed or if there were other alternatives. With software/equipment/capital, they were at 59.4% of the budget spent which was 21.7% higher than the prior year. Mr. Maurer explained they set up a fleet fund this year and each department was being charged for the vehicles out of their budget. The transfers to other funds were also higher than last year due to capital projects.

The Fitness Center charges for services was at 62% of the budget, which was 3% higher than last year. The revenue, excluding transfers, was also 3% higher than last year. The subsidy from the general fund was 21.3% higher than last year, which was partially due to moving credit card processing expenses from the general fund to the fitness center fund. In the past, Administration was paying for all credit card processing fees but those were now being charged out of the individual departments. The Fitness Center expenditures were about 7% less than last year but personnel was 1% higher.

The PARC Fund revenues were approximately 3% higher than last year. For FY2017 they awarded \$922,282 in grants. The current unrestricted reserve was about \$188,000.

Mr. Maurer stated they would go into more detail of the debt service fund at the February 20 work session. He explained that the debt service fund was for all debt service payments except for water and capital leases. The total principal/interest/fees was about \$2.27 million, which was 9.7% of the general fund revenues. He noted the 2005 GO Library bond was paid off in December; that payment was just over \$600,000.

In Capital projects 56% was allocated to the road plan, 24% was allocated to PARC projects, and 6% was the Fox Hollow Golf Course subsidy. The Public Safety was at 51% of equipment budgeted and Parks equipment was 29% of equipment budgeted.

With the completion of the Impact Fee Facilities Plan, they would start to budget projects that have been identified in that plan based on available funding. They have budgeted some items with the Art Dye improvements, Easton Park irrigation controller, and parks parking lot. The Parks impact fees paid \$268,623 on the debt service, but that bond would be paid off and that allotment would be freed up.

The Culinary and Pressurized Irrigation Water Funds included sales that were 4% higher than last year as there were more connections. The water capital projects were 53.8% of the budget, and debt service was about 26% of expenses. The culinary water was subsidizing the secondary irrigation and was designed that way in the last water rates study.

Sewer sales were up 2% and expenditures were at 49% of the budget. The final debt service payment on the Public Works building would free up about \$46,500 of the budget. The TSSD payment was 89% of prior year actual and storm drain charges for services were 3.8% above last year. The final payment for the 860 East detention pond would be approved in the next week.

Mr. Maurer explained the Sanitization and Recycling fund was newly created this year. The charges for services were meeting the budgeted expectations.

Broadband was expected to have another deficit. The lease revenue was within budgeted expectation and it was noted again that the loan to CentraCom was in default.

The Perpetual Care Fund loan balance was \$468,303 and at the current sale rate it would take 35 years to pay off the interfund loan. They may want to adjust how much of the lot sales were going toward paying this debt.

The Fleet Capital Fund was new this year and this fund was where they purchased vehicles in the replacement plan. There were 9 police vehicles that had been purchased and the Streets department was working on a dump truck. Mr. Maurer stated they would need to purchase another outfitted vehicle for the new DRO officer but they would be able to using existing resources to cover that cost.

FY2019 Budget

Mr. Maurer state there were at the beginning stages of developing the budget. However, there were some challenges they were facing. The city was unable to use general fund balance for FY2019 due to the fact that the city was at 8% fund balance. For the past few years, they have been using fund balance to help cover capital needs; that was not an option this year. The revenue budget projections were projected to be flat or a small increase, the B&C road funds were flat to negative, and they would need \$2.15 million to fund the road maintenance program. With Broadband, they may need to subsidize that fund so they could address the deficit. The sanitation and recycling fund had been contributing \$70K to general fund but they were no longer doing that and that would need to be replaced by other funding sources. There were significant needs outside of the road projects, as was discussed previously. They would need to identify funding sources for the new fleet fund. Mr. Maurer noted the B & C Road funds received would now go directly into the capital projects so it would be dedicated to the road plan.

He explained how the sales tax was distributed; one-half of retail sales tax received was distributed directly to the city and the other half was put in a statewide pool and distributed based on population. The city was currently receiving 77% of the point of sale tax collected. About one-third of retail sales occurred outside of “brick and mortar” stores and people were also spending less on personal consumption. The city was heavily reliant on auto sales (22% of tax collected came from auto sales) and big box stores (26% collected from big box stores). There are about 1,700 businesses that file sales tax with 15 entities making up 49% of the sales tax. If one of those entities goes down, that would hit the city hard. Sales tax revenue has been down because auto sales have gone down. The trend seems to be that consumers are buying less goods but paying for “experiences”. They needed to keep in mind that growth in other communities would affect our sales tax collected. It was noted that Amazon sales tax was treated as a “local” sale if it was sourced to an American Fork address; retailers through Amazon were not required to collect sales tax.

It was pointed out that with the property tax distribution, 67% of what was paid goes to the school district and the city gets about 20%.

For 2018 Key Projected Outflows, there were some potential personnel increases and possible wage adjustments if the council approved that. The URS rates would remain the same except for Tier 1 Fire. There may be an increase to health and dental costs as there was an increase in utilization. Operating costs have increased and departments would be requesting more money.

They expected a decrease in the debt service as the library bond was paid off. There were capital needs such as the road plan they would need to fund.

Mr. Maurer stated he was working on showing the “true cost” of providing services so they could re-examine cost allocation between governmental and enterprise funds. For example, there are employees being paid out of the general fund who are doing work associated with an enterprise fund and he would be examining that to see what should be borne by other funds.

Mr. Maurer explained he has prepared a detailed budget report. He has looked at the last five years of expenses and revenues to see how they were trending.

There was a lunch break from 11:30 a.m. to 12:15 p.m.

Mr. Bunker stated they would now break into two groups to talk about some of the issues they have discussed over the last two days. They would talk about priorities for the city to help them fulfill their purpose as a city. They would come up with projects, or creative pathways, to accomplish their priorities. He explained they needed to decide on who would be the employees to accomplish the tasks and then prepare to evaluate them. They were looking for four or five priorities, with four or five projects to focus on. They also needed to look at what successes and achievements they have seen over the last year.

There was a breakout session from 12:20 p.m. to 1:35 p.m. After which they listed what they discussed in their groups.

Some of the successes and achievements the city has seen over the last year have been:

- Great employees – They now had a great, cohesive TEAM (Together Everyone Achieves More). In years past the employees were a great team and there was a feeling of family, however, that disappeared for a time but was now coming back. There was a culture shift and cooperation between departments was happening again.
- Road Plan – They have a plan they could communicate to the citizens. There were some challenges, but there was a plan in place.
- PARC Tax – This has made an impact in small and large ways.
- Lining of sewer lines – This has saved money as it was eliminating water infiltration.
- Pay – The pay was competitive and they could retain their top employees.
- Study on Fire Station 52 – This would benefit the entire city.

Some of the FY 2018 Projects that they still needed to work on:

- Emergency notification and emergency response – They need to make sure they were moving in the right direction. They were working toward Everbridge system which was being utilized countywide

- CRA – They would like to complete the CRAs.
- Roads Utility Fee Study – They needed to discuss whether or not to impose a utility fee and how to go about it. They were hoping by June or July they could have that study completed so they could understand the options.
- Roads – This would always remain on list.
- Waterlines – There were many projects that needed to be done, some of which could be paid for with impact fees if the lines had been identified in the Impact Fee Facility Plan.

Projects in this past year that were not planned for:

- Impact fee facilities study
- Review of Personnel Policies and Procedures

The City Council and key staff then listed the top priorities and projects they had come up with. Those projects and priorities were:

- Transportation/Streets/Infrastructure Improvements
 - Transportation Committee to look into road funding and changes that need to be made, transportation plan, speed tables
 - Funding options
 - Sidewalks
 - Infrastructure 10-year plan - streets, utilities, sidewalks
- Communication
 - Technology Committee to look at technology needs
 - Customer Relationship Management – technology that talks to each other
 - Communication with Legislature and neighboring communities
 - Communication with employee training, staff involvement, fiscal needs
 - Improve relationship with Developmental Center
 - Getting information out to the public – the good, the bad and the ugly; positive PR
 - Make sure the vision is clear for committees, have a good definition for their roles; and make sure they are heard
- Water
 - Cave Camp Springs line
 - Chlorinator
 - Water plan – create a ten-year priority plan
 - SCADA system
- Public Safety
 - Fire Station 52 – critical now, southside station in the future
 - Equipment – radios, vehicles
 - Staff
 - Redundancy and Dispatching

- Evaluate Dispatch Involvement
- EOC – Emergency Operation Center and tabletop exercise, involving community with Incident Command System
- Emergency Notification (Everbridge)
- Fiscal
 - Reliance on sales tax
 - Five-year financial plan, adding on to that plan each year
 - Debt Management
 - Fund Balance
 - Keeping Quality of Life – redirecting freed up bond money back into the facilities
 - Communicate future fiscal needs
- Quality of Life
 - PARC Tax program
 - Fitness Center
 - Library
 - Learning Center
 - Cemetery Expansion
- Excellent Organization
 - Policies and Procedures
 - Fleet/Facilities Plans
 - Employee Morale
 - Clear processes throughout the city – standardize them and follow them

Mr. Bunker commented that there was a lot of information discussed today. They needed to determine which priorities and projects they needed to focus on for the upcoming year. It was felt they needed to have an additional work session on Tuesday where they could narrow down the list and come together as a council to decide what was most important. The information listed would be prepared and sent out to the council members so they could have their top five priorities for the next work session.

The budget workshop adjourned at 2:50 p.m.



Terilyn Lurker, City Recorder